Internal Capital Adequacy Assessment

Source: https://www.prarulebook.co.uk/pra-rules/internal-capital-adequacy-assessment/03-03-2026
Effective Date: 03-03-2026
Type: PRA Rule
Scraped: 2026-03-02 20:49

1

Application and Definitions

1.1

This Part applies to a _CRR firm_ save that 14.4A to 14.10, 14.12, 14.12A, 14.13, 14.15 and 14.16 apply, as appropriate, to an _Article 109 undertaking_.

1.2

In this Part the following definitions shall apply:

business risk

means any risk to a _firm_ arising from:

1. (1) changes in its business, including:
1. (a) the acute risk to earnings posed by falling or volatile income; and
2. (b) the broader risk of a _firm?s_ business model or strategy proving inappropriate due to macroeconomic, geopolitical, industry, regulatory or other factors; or
2. (2) its remuneration policy.

central counterparty

has the meaning given in point (1) of Article 2 of Regulation (EU) No 648/2012 of the European Parliament and of the Council of 4 July 2012 on OTC Derivatives, central counterparties and trade repositories.

credit spread risk

means the risk driven by changes in the market perception about the price of _credit risk_ , liquidity premium and potentially other components of credit-risky instruments inducing fluctuations in the price of _credit risk_ , liquidity premium and other potential components, which is not explained by interest rate risk arising from non-trading book activities or by expected credit/(jump-to-) default risk.

EVE

means the economic value of equity of a _firm_.

group

means in relation to a _person_ (?A?), A and any _person_ :

1. (a) who has relationship with A of the kind specified in s. 421 of _FSMA_ ;
2. (b) who is a member of the same _financial conglomerate_ as A;

3. (c) who has a _common management relationship_ with A;
4. (d) who has a _common management relationship_ with any _person_ who falls into (a);
5. (e) who is a _subsidiary_ of a person in (c) or (d);
6. (f) who is member of the same _consolidation group_ as A; or
7. (g) whose omission from an assessment of the risks to A of A's connection to any person coming within (a)-(f) or an assessment of the financial resources available to such persons would be misleading.

group risk

means the risk that the financial position of a _firm_ may be adversely affected by its relationships (financial or non-financial) with other entities in the same _group_ or by risk which may affect the financial position of the whole _group_ , including reputational contagion.

liquidity risk

means the risk that a _firm_ although solvent, either does not have available sufficient financial resources to enable it to meet its obligations as they fall due, or can secure such resources only at excessive cost.

market risk

means the risk that arises from fluctuations in values of or income from assets or in interest or exchange rates.

option risk

means risk arising from option derivative positions or from optional elements embedded in a _firm?s_ assets, liabilities and off-balance sheet items, where the _firm_ or its counterparty can alter the level and timing of their cash flows.

pension obligation risk

means:

1. (1) the risk to a _firm_ caused by its contractual or other liabilities to or with respect to a pension scheme (whether established for its employees or those of a related company or otherwise); or
2. (2) the risk that the _firm_ will make payments or other contributions to or with respect to a pension scheme because of a moral obligation or because the _firm_ considers that it needs to do so for some other reason.

residual risk

means the risk that credit risk mitigation techniques used by the _firm_ prove less effective than expected.

1.3

Unless otherwise defined, any italicised expression used in this Part and in the _CRR_ has the same meaning as in the _CRR_.

2

Adequacy of Financial Resources

Overall financial adequacy rule

2.1

A _firm_ must at all times maintain overall financial resources, including _own funds_ and liquidity resources, which are adequate both as to amount and quality, to ensure there is no significant risk that its liabilities cannot be met as they fall due.

3

Strategies, Processes and Systems

Overall Pillar 2 rule

3.1

A _firm_ must have in place sound, effective and comprehensive strategies, processes and systems:

1. (1) to assess and maintain on an ongoing basis the amounts, types and distribution of financial resources, _own funds_ and internal capital that it considers adequate to cover:
1. (a) the nature and level of the risks to which it is or might be exposed;
2. (b) the risk in the overall financial adequacy rule in 2.1; and
3. (c) the risk that the _firm_ might not be able to meet the obligations in Part Three of the _CRR_ in the future;
2. (2) that enable it to identify and manage the major sources of risk referred to in (1) including the major sources of risk in each of the following categories where they are relevant to the _firm_ given the nature and scale of its business:
1. (a) credit and counterparty risk;
2. (b) _market risk_ ;
3. (c) _liquidity risk_ ;
4. (d) _operational risk_ ;
5. (e) concentration risk;
6. (f) _residual risk_ ;
7. (g) _securitisation _risk, including the risk that the _own funds_ held by a _firm_ in respect of assets which it has securitised are inadequate having regard to the economic substance of the transaction including the degree of risk transfer achieved;
8. (h) _business risk_ ;
9. (i) interest rate risk in the non-trading book;
10. (j) _risk of excessive leverage_ ;
11. (k) _pension obligation risk_ ; and
12. (l) _group risk_.
3. (3) to ensure that the _firm's_ _own funds_ can absorb potential losses resulting from stress scenarios, including those identified under the supervisory stress test.

[Note: Art 73 (part)and Art 104b (part)of the _CRD_]

3.2

As part of its obligations under the overall Pillar 2 rule in 3.1, a _firm_ must identify separately the amount of _common equity tier one capital_ , _additional tier one capital_ and _tier two capital_ and each category of capital (if any) that is not eligible to form part of its _own funds_ which it considers adequate for the purposes described in the overall Pillar 2 rule.

3.3

The processes, strategies and systems required by the overall Pillar 2 rule in 3.1 must be comprehensive and proportionate to the nature, scale and complexity of the _firm?s_ activities.

3.4

A _firm_ must:

1. (1) carry out regularly the assessments required by the overall Pillar 2 rule in 3.1; and
2. (2) carry out regularly assessments of the processes, strategies and systems required by the overall Pillar 2 rule in 3.1 to ensure they remain comprehensive and proportionate to the nature, scale and complexity of the _firm?s_ activities.

[Note: Art 73 (part) of the _CRD_]

3.5

As part of its obligations under the overall Pillar 2 rule in 3.1, a _firm_ must:

1. (1) make an assessment of the firm-wide impact of the risks identified in accordance with that rule, to which end a _firm_ must aggregate the risks across its various business lines and units, taking appropriate account of any correlation between risks; and
2. (2) take into account the stress tests that the _firm_ is required to carry out under the general stress test and scenario analysis rule in 12.1 and any stress tests that the _firm_ is required to carry out under the _CRR_.

4

Credit and Counterparty Risk

4.1

A _firm_ must base credit-granting on sound and well-defined criteria and clearly establish the process for approving, amending, renewing and re-financing credits.

[Note: Art 79(a) of the _CRD_]

4.2

A _firm_ must have internal methodologies that:

1. (1) enable it to assess the credit risk of exposures to individual obligors, securities or _securitisation positions_ and credit risk at the portfolio level;
2. (2) do not rely solely or mechanistically on external credit ratings; and
3. (3) where its _own funds_ requirements under Part Three of the _CRR_ are based on a rating by an _ECAI_ or based on the fact that an exposure is unrated, enable the _firm_ to consider other relevant information for assessing its allocation of financial resources and internal capital.

[Note: Art 79(b) of the _CRD_]

4.3

A _firm_ must operate through effective systems the ongoing administration and monitoring of its various credit risk-bearing portfolios and exposures, including for identifying and managing problem credits and for making adequate value adjustments and provisions.

[Note: Art 79(c) of the _CRD_]

4.4

A _firm_ must adequately diversify credit portfolios given its target markets and overall credit strategy.

[Note Art 79(d) of the _CRD_]

5

Residual Risk

5.1

A _firm_ must address and control, by means which include written policies and procedures, the risk that recognised credit risk mitigation techniques used by it prove less effective than expected.

[Note: Art 80 of the _CRD_]

6

Concentration Risk

6.1

A _firm_ must address and control, by means which include written policies and procedures, the concentration risk arising from:

1. (1) exposures to each counterparty including central counterparties, groups of connected counterparties and counterparties in the same economic sector, geographic region or from the same activity or commodity;
2. (2) the application of credit risk mitigation techniques; and
3. (3) risks associated with large indirect credit exposures such as a single collateral issuer.

[Note: Art 81 of _CRD_]

7

Securitisation Risk

7.1

A _firm_ must evaluate and address through appropriate policies and procedures the risks arising from _securitisation_ transactions in relation to which the _firm_ is investor, _originator_ or _sponsor_ , including reputational risks, to ensure in particular that the economic substance of the transaction is fully reflected in risk assessment and management decisions.

[Note: Art 82(1) of _CRD_]

7.2

A _firm_ which is an _originator_ of a revolving _securitisation_ transaction involving _early amortisation provisions_ must have liquidity plans to address the implications of both scheduled and early amortisation.

[Note Art 82(2) of the _CRD_]

8

Market Risk

8.1

A _firm_ must implement policies and processes for the identification, measurement and management of all material sources and effects of market risks.

[Note: Art 83(1) of the _CRD_]

8.2

A _firm_ must take measures against the risk of a shortage of liquidity if the short position falls due before the long position.

[Note: Art 83(2) of the _CRD_]

8.3

A _firm?s_ financial resources and internal capital must be adequate for material market risks that are not subject to an _own funds_ requirement.

8.4

A _firm_ which has, in calculating _own funds_ requirements for position risk in accordance with Part Three, Title IV, Chapter 2 of the _CRR_ , netted off its positions in one or more of the equities constituting a stock-index against one or more positions in the stock-index future or other stock-index product, must have adequate financial resources and internal capital to cover the basis risk of loss caused by the future's or other product's value not moving fully in line with that of its constituent equities.

8.4A

A _firm_ must have adequate internal capital where it holds opposite positions in stock-index futures which are not identical in respect of either their maturity or their composition or both.

8.5

A _firm_ using the treatment in Article 345 of the _CRR_ must ensure that it holds sufficient financial resources and internal capital against the risk of loss which exists between the time of the initial commitment and the following working day.

[Note: Art 83(3) of the _CRD_]

8.6

As part of its obligations under the overall Pillar 2 rule in 3.1, a _firm_ must consider whether the value adjustments and provisions taken for positions and portfolios in the _trading book_ enable the _firm_ to sell or hedge out its positions within a short period without incurring material losses under normal market conditions.

[Note: Art 98(4) of the _CRD_]

9

Interest Risk Arising from Non-Trading Book Activities

General requirements

9.1

A _firm_ must implement systems to identify, evaluate and manage the risk arising from potential changes in interest rates that affect a _firm?s_ non-trading activities including the risks of such changes impacting either or both of the following:

1. (1) the economic value of the _firm's_ non-trading activities;
2. (2) the earnings in respect of the _firm's_ non-trading activities.

[Note: Art 84 of the _CRD_]

9.1A

A _firm_ must in addition implement systems to monitor and assess _credit spread risk_ in respect of its non-trading activities.

9.1B

As an alternative to implementing internal systems under 9.1(1), and only where appropriate to its nature, size and complexity as well as business activities and overall risk profile, a _firm_ may elect to implement the standardised framework set out in 9.13 to 9.43 to identify, evaluate and manage the risk arising from potential changes in interest rates that affect the economic value of the _firm?s_ non-trading activities.

9.1C

A _firm_ shall notify the _PRA_ prior to any implementation of the standardised framework pursuant to 9.1B or, if it elects to cease implementing the standardised framework, prior to doing so.

9.2

As part of its obligations under the overall Pillar 2 rule in 3.1, a _firm_ must carry out an evaluation of its exposure to the interest rate risk arising from its non-trading activities, including an evaluation of its exposure to risk arising from potential changes in interest rates that affect either or both of the following:

1. (1) the economic value of the _firm's_ non-trading activities;
2. (2) the earnings in respect of the _firm's_ non-trading activities.

9.3

[Deleted.]

9.4

[Deleted.]

9.4A

A _firm_ must regularly carry out an evaluation in respect of the interest rate shock scenarios in 9.7 and immediately notify the _PRA_ if any evaluation under this rule indicates that, as a result of the application of the interest rate scenarios in 9.7, the _EVE_ would decline by more than 15% of the sum of its _common equity tier one capital_ and its _additional tier one capital_.

9.5

A _firm_ must carry out the evaluation under 9.2 as frequently as necessary for it to be reasonably satisfied that it has at all times a sufficient understanding of the degree to which it is exposed to the risks referred to in 9.2 and the nature of that exposure. In any case it must carry out those evaluations no less frequently than once a year.

[Note: Art 98(5) of the _CRD_]

9.6

A _firm?s management body_ must oversee and approve the _firm?s_ risk appetite and risk management framework for managing interest rate risk from non-trading book activities.

Interest rate shock scenarios

9.7

For the purposes of the evaluation in 9.4A, a _firm_ must apply the following prescribed interest rate scenarios to all material currencies as determined in 9.8:

scenario 0: current interest rates;

scenario 1: parallel shock up;

scenario 2: parallel shock down;

scenario 3: steepener shock (short rates down and long rates up);

scenario 4: flattener shock (short rates up and long rates down);

scenario 5: short rates shock up; and

scenario 6: short rates shock down.

9.8

For the purposes of 9.7 and 9.15, a _firm_ shall determine which currencies are material currencies using the following tests:

1. (1) each currency that has non-trading book assets in that currency more than 5% of total non-trading book assets shall be a material currency;
2. (2) where the sum of non-trading book assets in material currencies as identified under (1) does not exceed 90% of total non-trading book assets, a _firm_ must select additional currencies to be deemed material currencies such that the sum of non-trading book assets in material currencies as identified under (1) and (2) is at least 90% of total nontrading book assets;
3. (3) each currency that has non-trading book liabilities in that currency more than 5% of total non-trading book liabilities shall be a material currency; and
4. (4) where the sum of non-trading book liabilities in material currencies as identified under (3) does not exceed 90% of total non-trading book liabilities, a _firm_ must select additional currencies to be deemed material currencies such that the sum of nontrading book liabilities in material currencies as identified under (3) and (4) is at least 90% of total non-trading book liabilities.

9.9

For the interest rate scenarios specified in 9.7, a _firm_ shall determine the change to interest rates in accordance with the following formulae:

for scenario 0:	? _R c_(_t k_)	=	0
for scenario 1:	? _R c_(_t k_)	=	+
for scenario 2:	? _R c_(_t k_)	=	?
for scenario 3:	? _R c_(_t k_)	=	?0.65 . |? _R short,c_(_t k_)| + 0.9 . |? _R long,c_(_t k_)

for scenario 4: | ? _R c_(_t k_) | = | +0.8 . |? _R short,c_(_t k_)| ? 0.6 . |? _R long,c_(_t k_)|
for scenario 5: | ? _R c_(_t k_) | = | +? _R short,c_(_t k_)
for scenario 6: | ? _R c_(_t k_) | = | ?? _R short,c_(_t k_)

Where:

_c_ = the index that denotes currency;

_k_ = the index that denotes the buckets in accordance with Table 2 in 9.17 below;

_t k _= the bucket midpoint of bucket _k_ , measured in years;

? _R c_(_t k_) = the change in interest rate at the point _t k_ for currency _c_ ;

= the prescribed parallel interest rate shock for currency _c_ determined in accordance with column two of Table 1 in 9.11;

? _R short,c_(_t k_) = the change in short interest rate at the point _t k_ for currency _c_ determined in accordance with the formulae in 9.10; and

? _R long,c_(_t k_) = the change in long interest rate at the point _t k_ for currency _c_ determined in accordance with the formulae in 9.10.

9.10

For the purposes of 9.9, a _firm_ shall determine the value of ? _R short_(_t k_) and ? _R long_(_t k_) in accordance with the following formulae:

1. (1) for ? _R short,c_(_t k_): ? _R short,c_(_t k_)_= + Rshort,c_ . e ___
2. (2) for ? _R long,c_(_t k_): ? _R long,c_(_t k_)_=__+_R_ long,c . _(1 _? e_)
3. Where:
1. _c_ = the index that denotes currency;
2. _k_ = the index that denotes the buckets in accordance with Table 2 in 9.17 below;
3. _e_ = the mathematical constant that is the base of the natural logarithm;
4. _x_ = 4;
5. _t k_ = the bucket midpoint of bucket _k_ , measured in years;
6. ? _R short,c_(_t k_) = the change in short interest rate at the point _t k_ for currency _c_ ;
7. ? _R long,c_(_t k_) = the change in long interest rate at the point _t k_ for currency _c_ ;
8. = the prescribed short interest rate shock for currency _c_ determined in accordance with column three of Table 1 in 9.11; and
9. = the prescribed long interest rate shock for currency _c_ determined in accordance with column four of Table 1 in 9.11.

9.11

For the purposes of 9.9, the interest rate shock scenarios for individual currencies are those in Table 1 below:

Table 1. Specified size of interest rate shocks for each currency (bps)

Currency	Parallel	Short	Long
ARS	400	500	300

AUD | 300 | 450 | 200

BRL | 400 | 500 | 300

CAD | 200 | 300 | 150

CHF | 100 | 150 | 100

CNY | 250 | 300 | 150

EUR | 200 | 250 | 100

GBP | 250 | 300 | 150

HKD | 200 | 250 | 100

IDR | 400 | 500 | 350

INR | 400 | 500 | 300

JPY | 100 | 100 | 100

KRW | 300 | 400 | 200

MXN | 400 | 500 | 300

RUB | 400 | 500 | 300

SAR | 200 | 300 | 150

SEK | 200 | 300 | 150

SGD | 150 | 200 | 100

TRY | 400 | 500 | 300

USD | 200 | 300 | 150

ZAR | 400 | 500 | 300

* Future version of 9.11 after 01/07/2026

9.12

For material positions in currencies not listed in 9.11, a _firm_ must use appropriate shocks for the scenarios listed in 9.7.

Standardised Framework

Calculating Loss in Economic Value

9.13

Using the standardised framework, a _firm_ shall carry out the evaluation in 9.1(1) by calculating the loss in _EVE_ (_EV E loss_) in accordance with the following formula:

Where:

_i_ = the index that denotes the interest rate shock scenarios in accordance with 9.15;

_c_ = the index that denotes the material currencies in accordance with 9.15; and

? _EV E i,c_ = the change in economic value in currency _c_ for interest rate scenario i as calculated in accordance with 9.14.

9.14

For the purposes of 9.13, a _firm_ must calculate the change in economic value in a given currency for a given interest rate scenario in accordance with the following formula:

? _EV E i,c_ = _NA0 i,c_ \+ _KA0 i,c_

Where:

_i_ = the index that denotes the interest rate shock scenarios in accordance with 9.15;

_c_ = the index that denotes the material currencies in accordance with 9.15;

? _EV E i,c_ = the change in economic value in currency _c_ for interest rate scenario _i_ ;

_NA0 i,c_ = the non-automatic _option risk_ in currency _c_ for interest rate scenario _i_ as calculated in accordance with 9.16; and

_KA0 i,c_ = the automatic _option risk_ in currency _c_ for interest rate scenario _i_ as calculated in accordance with 9.41.

9.15

For the purposes of 9.13 and 9.14, a _firm_ must calculate the change in economic value in a given currency for a given interest rate scenario, ? _EV E i,c_, for every possible pair of:

1. (1) interest rate scenarios, _i_ in 9.7; and
2. (2) each material currency, _c_ as determined in 9.8.

9.16

For the purposes of 9.14, a _firm_ must calculate the non-automatic _option risk_ in currency _c_ for interest rate scenario _i_ (_NA0_ _i,c_) in accordance with the following formula:

Where:

_i_ = the index that denotes the interest rate shock scenarios in accordance with 9.15;

_c_ = the index that denotes the material currencies in accordance with 9.15;

_k_ = the index that denotes the buckets in accordance with Table 2 in 9.17;

_DF i,c_(_t k_) (respectively _DF_ 0 _,c_(_t k_)) = the discount factor for bucket _k_ in currency _c_ for interest rate scenario _i_ (respectively for interest rate scenario 0), calculated in accordance with 9.18; and

_CF i,c_(_k_) (respectively _CF_ 0 _,c_(_k_)) = the net repricing cash flow for bucket _k_ in currency _c_ for interest rate scenario _i_ (respectively for interest rate scenario 0), calculated in accordance with 9.19 to 9.40.

9.17

For the calculation of discount factors and notional repricing cash flows in 9.18 and 9.19, a _firm_ must project all notional repricing cashflows on to the following bucket intervals or bucket midpoints:

Table 2

Time bucket intervals and mid points (M = months, Y = years)

| Bucket number (k) | Bucket interval | Bucket midpoint
Short-term rates | 1 | Overnight | 0.0028Y
2 | > Overnight and <= 1M | 0.0147Y

3 | > 1M and <= 3M | 0.1667Y

4 | > 3M and <= 6M | 0.375Y

5 | > 6M and <= 9M | 0.625Y

6 | > 9M and <= 1Y | 0.875Y

7 | > 1Y and <= 1.5Y | 1.25Y

8 | > 1.5Y and <= 2 Y | 1.75Y

Medium-term rates | 9 | >2 Y and <= 3Y | 2.5Y

10 | > 3Y and <= 4Y | 3.5Y

11 | > 4Y and <= 5Y | 4.5Y

12 | > 5Y and <= 6Y | 5.5Y

13 | > 6Y and <= 7Y | 6.5Y

Long-term rates

| 14 | > 7Y and <= 8Y | 7.5Y

15 | > 8Y and <= 9Y | 8.5Y

16 | >9 Y and <= 10Y | 9.5Y

17 | > 10Y and <= 15Y | 12.5Y

18 | > 15Y and <= 20Y | 17.5Y

19 | 20Y | 25Y

9.18

1. (1) For the purposes of 9.16, a _firm_ must calculate the discount factor for bucket _k_ in currency _c_ for interest rate scenario _i_ (_DF i,c_(_t k_)) in accordance with the following formula:
1. Where:
2. _i_ = the index that denotes the interest rate shock scenarios in accordance with 9.15;
3. _c_ = the index that denotes the material currencies in accordance with 9.15;
4. _k_ = the index that denotes the buckets in accordance with Table 2 in 9.17;
5. _e_ = the mathematical constant that is the base of the natural logarithm;
6. _t k_ = the bucket midpoint of bucket _k_ in accordance with Table 2 in 9.17; and
7. _R i,c_(_t k_)= subject to (2), the risk-free zero coupon rate at bucket midpoint _t k_ in currency _c_ for interest rate scenario _i_ , including any commercial margin and other spread components.
2. (2) A _firm_ may elect to use the risk-free zero coupon rate _R i,c_(_t k_) excluding commercial margin and other spread components, provided the _firm_ either (i) implements a prudent and transparent methodology for deducting commercial margins and other spread components from the initial repricing cash flows _CF ?_ in 9.26 or (ii) determines that the effect of deducting commercial margins and other spread components is not material.

9.19

In accordance with 9.21, 9.22, 9.23 and 9.24, a _firm_ must assign each interest rate risk position arising from non-trading activities to one of the following categories:

category 1: automatic interest rate options;

category 2: non-maturing deposits;

category 3: fixed rate loans with retail borrowers that are subject to prepayment risk;

category 4: term deposits by retail depositors subject to early redemption risk; and category 5: other positions.

9.20

A _firm_ must perform the allocation in 9.19 for all interest rate-sensitive non-trading book:

1. (1) assets, excluding assets that are:
1. (a) deducted from _common equity tier one capital_ ;
2. (b) fixed assets, including real estate and intangible assets; or
3. (c) equity exposures in the non-trading book;
2. (2) liabilities, including all non-remunerated deposits and excluding _common equity tier one capital_ ; and
3. (3) off-balance sheet items.

9.21

Under 9.19, term deposits that satisfy either of the following conditions may be treated as other positions in 9.19:

1. (1) the depositor has no legal right to withdraw the deposit; or
2. (2) an early withdrawal results in a significant penalty that at least compensates for the loss of interest between the date of withdrawal and the contractual maturity date and the economic cost of breaking the contract.

9.22

For the purposes of 9.19, and subject to 9.23, a _firm_ must bifurcate any position with an embedded automatic interest rate option into two positions:

1. (1) a position excluding the embedded automatic interest rate option, which must be allocated to the other positions category in 9.19; and
2. (2) the embedded automatic interest rate option, which must be allocated to the category of automatic interest rate options in 9.19.

9.23

Where a _firm_ is able to demonstrate that the embedded optionality is not material, the _firm_ may choose not to perform the bifurcation in 9.22 and may directly allocate the position to the other positions category in 9.19.

9.24

For the purposes of 9.19, automatic interest rate options include:

1. (1) term deposits by wholesale depositors that do not meet the conditions in 9.21;
2. (2) wholesale fixed rate loans subject to prepayment risk; and
3. (3) mortgage loans with embedded caps and/or floors.

9.25

For each position allocated to the categories 2 to 5 in 9.19, a _firm_ must determine a set of initial repricing cash flows, _CF ?_, per currency, in accordance with 9.26 and 9.27.

9.26

For each position, a _firm_ must determine a set of initial repricing cash flows _CF ?_ as:

1. (1) any repayment of principal;

2. (2) any repricing of principal; and
3. (3) any interest payment on a tranche of principal that has not yet been repaid or repriced.

9.27

A _firm_ must determine the set of initial repricing cash flows _CF ?_ for floating rate positions as:

1. (1) a series of coupon payments until the next repricing; and
2. (2) a par notional cash flow at the point of the next repricing.

9.28

In accordance with 9.32 to 9.40 for each material currency _c_ identified in accordance with 9.15 and for interest rate scenario _i_ , a _firm_ must allocate each notional repricing cash flow _CF i,c_ to one of the buckets in Table 2 in 9.17 based on the repricing date, where repricing date means the date of each repayment, repricing or interest payment.

9.29

A _firm_ may first choose to split an initial repricing cash flow determined in 9.25, _CF ?_ , into two cash flows with tenors equal to the two bucket mid-point tenors in column 4 of Table 2 in 9.17 that are adjacent to the tenor of the initial repricing cash flow _CF ?_.

9.30

Where a _firm_ chooses to apply the methodology in 9.29, that _firm_ must:

1. (1) split each initial repricing cash flow determined in 9.25, _CF ?_ such that:
1. (a) the sum of the resulting two cash flows is equal to the initial repricing cash flow, _CF ?_; and
2. (b) the weighted average maturity of the resulting two cash flows equals the initial repricing cash flows? maturity; and
2. (2) document the methodology that the _firm_ implements to split cash flows.

9.31

For 9.16, the net repricing cash flow for bucket _k_ in currency _c_ for interest rate scenario _i_ , (_CF i,c_(_k_)) shall be determined as the sum of _CF i,c_ as determined in 9.28 which:

1. (1) are derived from initial repricing cash flows _CF ?_ that are allocated to currency _c_ for interest rate scenario _i_ in accordance with 9.28; and
2. (2) allocated to bucket _k_ in accordance with Table 2 in 9.17.

Non-maturing deposits

9.32

For non-maturing deposits as determined in 9.19, a _firm_ must allocate each position into one of the following categories:

1. (1) retail deposits defined as deposits placed with a _firm_ by a natural _person_ and where either regular transactions are carried out or the deposits are non-interest bearing;
2. (2) any other deposits with a _firm_ by a natural _person_ which are not covered in (1); or
3. (3) other deposits.

9.33

For the purposes of 9.32(1) deposits made by small businesses, legal entities, sole proprietorships or _partnerships_ managed as retail exposures provided the total aggregated liabilities are less than £877,000 may also be treated as retail deposits.

9.34

For each category in 9.32, a _firm_ must allocate each position to the following categories:

1. (1) the core portion, consisting of deposits that are found to remain undrawn with a high degree of likelihood using data history of an appropriate length, and unlikely to reprice even under significant changes in the interest rate environment; and
2. (2) the non-core portion, consisting of deposits not allocated to the core portion.

9.35

For non-maturing deposits as determined in 9.34, the notional repricing cash flows in currency _c_ for each interest rate scenario _i_ , _CF i,c_, must be:

1. (1) for the core portion, the initial notional repricing cash flows in currency _c_ for interest rate scenario _i_ with the _firm?s_ own estimates of tenors; and
2. (2) for the non-core portion, the initial notional repricing cash flows in currency _c_ for interest rate scenario _i_ with an overnight tenor.

9.36

For the allocation in 9.34 and the calculation of _CF i_ in 9.35, a _firm_ must ensure that the proportion and average repricing date of core deposits is no greater than the caps in Table 3:

Table 3: Caps on core deposits

	Cap on proportion of core deposits (%)	Cap on average repricing date of core deposits (years)
Transactional retail deposits (as referred to in 9.32(1))	90	5
Other retail deposits (as referred to in 9.32(2))	70	4.5
Other deposits (as referred to in 9.32(3))	50	4

Fixed Rate Loans

9.37

For fixed rate loans with borrowers that are subject to prepayment risk as determined in 9.19, a _firm_ must:

1. (1) allocate each position to a single portfolio of homogeneous positions _p_ denominated in a single currency _c_ ;
2. (2) for each portfolio of homogeneous positions, determine and notify the _PRA_ a baseline monthly conditional prepayment rate () in currency _c_ under the current term structure of interest rates;
3. (3) for each portfolio of homogeneous positions, determine the conditional prepayment rate in currency _c_ for interest rate scenario _i_ , (_CPR i,c_) in accordance with the following formula:

1. where _?_ _i_ refers to the prescribed scalar multiplier for each interest rate shock scenarios given in Table 4 below.

Table 4

Scenario number _i_	Interest rate shock scenarios	_?_ _i_ (scenario multiplier)

0 | Current interest rates | 1

1 | Parallel up | 0.8

2 | Parallel down | 1.2

3 | Steepener | 0.8

4 | Flattener | 1.2

5 | Short rate up | 0.8

6 | Short rate down | 1.2

1. (4) for each portfolio of homogeneous positions, determine the notional repricing cash flows _CF_ _i,c_ allocated to bucket 1 in accordance with Table 2 in 9.17, _CF_ _i,c_(1), in accordance with the following formula:

1. Where:
1. (1) = the initial repricing cash flows _CF ?_ for interest rate scenario _i_ with tenor that corresponds to bucket 1 in accordance with Table 2 in 9.17; and
2. _Ni_(0)= the notional currently outstanding before any repayments.

1. (5) for each portfolio of homogeneous positions, determine the notional repricing cash flows _CF_ _i,c_ allocated to each bucket _k_ in Table 2 where _k_ > 1, _CF i,c_(_k_), in accordance with the following recursive formula:

1. Where:
2. _k_ = the index that denotes the buckets in accordance with Table 2 in 9.17;
3. _W_(_k_) = the width of bucket _k_ measured in months and capped at 1200;
4. = the initial repricing cash flows _CF ?_ in currency _c_ for interest rate scenario _i_ with tenor that corresponds to bucket _k_ ;
5. _N_(_k_ ? 1) = the notional outstanding after notional repricing cash flows in bucket _k_ ? 1 have transpired; and
6. = the sum of _CF i_ determined for preceding buckets 1 to _k_ ? 1 .

9.38

For the purpose of 9.37, _firms_ may adjust the formulas in 9.37 (4) and (5) to reflect a base monthly conditional prepayment rate that varies over the life of each loan in the portfolio. In that case, it is denoted as for each time bucket _k_ or time bucket midpoint _tk_ in accordance with Table 2 in 9.17.

Term Deposits Subject to Early Redemption Risk

9.39

For term deposits by depositors subject to early redemption risk as determined in 9.19, a _firm_ must:

1. (1) allocate each position to a single portfolio of homogeneous positions _p_ denominated in each material currency _c_ ;
2. (2) for each portfolio of homogeneous positions, determine and notify the _PRA_ a baseline term deposit redemption ratio in currency _c_ under the current term structure of interest rates;
3. (3) for each portfolio of homogeneous loans, determine the conditional term deposit redemption ratio in currency _c_ for interest rate scenario _i_ , in accordance with the following formula:

1. where _u i_ refers to the prescribed scalar multiplier for each interest rate shock scenarios given in Table 5 below.

Table 5.

Scenario number (_i_) | Interest rate shock scenarios | _u i_ (scenario multiplier

0	Current interest rates	1
1	Parallel up	1.2
2	Parallel down	0.8
3	Steepener	0.8
4	Flattener	1.2
5	Short rate up	1.2
6	Short rate down	0.8

1. (4) for each portfolio of homogeneous positions, determine the notional repricing cash flows _CF i,c_ allocated to bucket 1 in Table 2 in 9.17, _CF i,c_(1), in accordance with the following formula:

2. Where:

1. = the initial repricing cash flows in currency _c_ for interest rate scenario _i_ with tenor that corresponds to bucket 1 in accordance with Table 2 in 9.17; and

2. _TD_ _c_ = the total term deposits subject to early redemption for currency _c_.

3. (5) for each portfolio of homogeneous positions, determine the notional repricing cash flows _CF i_ allocated to bucket _k_ in Table 2 other than bucket _CF i_(_k_)_,_ in accordance with the following formula:

1. Where:

1. _k_ = the index that denotes the buckets in accordance with Table 2 in 9.17; and

2. = the initial repricing cash flows in currency _c_ for interest rate scenario _i_ with tenor that corresponds to bucket _k_.

Other positions

9.40

For other positions as determined in 9.19, a _firm_ must determine the notional repricing cash flows _CF i,c_ allocated to bucket _k_ in Table 2 other than bucket 1, _CF i_(_k_), in accordance with the following formula:

Where:

_k_ = the index that denotes the buckets in accordance with Table 2 in 9.17; and

= the initial repricing cash flows in currency _c_ for interest rate scenario _i_ with tenor that corresponds to bucket _k_.

Automatic interest rate options

9.41

For 9.14, and subject to 9.42, a _firm_ must determine the automatic _option risk_ in currency _c_ for interest rate scenario _i_ (_KA0 i,c_) for all automatic interest rate options as determined in 9.19 and 9.22 in accordance with the following formula:

Where:

_n c_ = the index that denotes the number of all sold automatic options in currency _c_ ;

_m c_ = the index that denotes the number of all bought automatic options in currency _c_ ;

= the change in value of sold automatic option _p_ for interest rate scenario _i_ , calculated in accordance with 9.43; and

= the change in value of bought automatic option _q_ for interest rate scenario _i_ , calculated in accordance with 9.43.

9.42

A _firm_ may choose to include in the calculation of only bought automatic options that are used for hedging sold automatic interest rate options, provided that the _firm_ must add to _KA0 i,c_ in 9.41 the value of bought automatic options that are not for hedging sold automatic interest rate options that is included in the _firm?s_ own funds.

9.43

1. (1) For 9.41, a _firm_ must calculate the change in value of sold automatic option _p_ (respectively bought automatic option _q_) for interest rate scenario _i_ other than interest rate scenario (respectively), as the increase in value of the option to the option holder:

1. (a) from the value of the option for interest rate scenario 0; and

2. (b) to the value of the option for interest rate shock scenario _i_ with a relative increase in implied volatility of 25%.

2. (2) For 9.41, a _firm_ must set the change in value of sold automatic option _p_ (respectively bought automatic option _q_) for interest rate scenario (respectively), as 0.

3. (3) A _firm_ must notify the _PRA_ of the methodology used to estimate the value of automatic options in (1).

10

Operational Risk

10.1

A _firm_ must implement policies and processes to evaluate and manage the exposure to operational risk, including model risk and risks resulting from outsourcing and to cover low-frequency high severity events. Without prejudice to the definition of _operational risk_ , a firm must articulate what constitutes _operational risk_ for the purposes of those policies and procedures.

[Note: Art 85(1) of the _CRD_]

10.2

A _firm _must have in place adequate contingency and business continuity plans aimed at ensuring that in the case of a severe business disruption the _firm_ is able to operate on an ongoing basis and that any losses are limited.

[Note: Art 85(2) of the _CRD_]

11

Risk of Excessive Leverage

11.1

A _firm_ must have in place policies and procedures for the identification, management and monitoring of the _risk of excessive leverage_.

11.2

Those policies and procedures must include, as an indicator for the _risk of excessive leverage_ , the _leverage ratio_ determined in accordance with Article 429(2)") of Chapter 3 of the Leverage Ratio (CRR) Part Part") and mismatches between assets and obligations.

[Note: Art 87(1) of the _CRD_]

11.3

A _firm_ must address the _risk of excessive leverage_ in a precautionary manner by taking due account of potential increases in that risk caused by reductions of the _firm's own funds_ through expected or realised losses, depending on the applicable accounting rules. To that end, a _firm_ must be able to withstand a range of different stress events with respect to the _risk of excessive leverage_.

[Note: Art 87(2) of the _CRD_]

12

Stress Tests and Scenario Analysis

General stress test and scenario analysis rule

12.1

As part of its obligation under the overall Pillar 2 rule in 3.1, a _firm_ must, for the major sources of risk identified in accordance with that rule, carry out stress tests and scenario analyses that are appropriate to the nature, scale and complexity of those major sources of risk and to the nature, scale and complexity of the _firm's_ business.

12.2

In carrying out the stress tests and scenario analyses in 12.1, a _firm_ must identify an appropriate range of adverse circumstances of varying nature, severity and duration relevant to its business and risk profile and consider the exposure of the _firm_ to those circumstances, including:

1. (a) circumstances and events occurring over a protracted period of time;
2. (b) sudden and severe events, such as market shocks or other similar events; and
3. (c) some combination of the circumstances and events described in (a) and (b), which may include a sudden and severe market event followed by an economic recession.

12.3

In carrying out the stress tests and scenario analyses in 12.1, the _firm_ must estimate the financial resources that it would need in order to continue to meet the overall financial adequacy rule in 2.1 and the obligations laid down in Part Three of the _CRR_ under the adverse circumstances being considered.

12.4

In carrying out the stress tests and scenario analyses in 12.1, the _firm_ must assess how risks aggregate across business lines or units, any material non-linear or contingent risks and how risk correlations may increase in stressed conditions.

13

Documentation of Risk Assessments

13.1

A _firm_ must make a written record of the assessments required under this Part. These assessments must include assessments carried out on a _consolidated basis _and on an individual basis. In particular it must make a written record of:

1. (a) the major sources of risk identified in accordance with the overall Pillar 2 rule in 3.1;
2. (b) how it intends to deal with those risks; and
3. (c) details of the stress tests and scenario analyses carried out, including any assumptions made in relation to scenario design, and the resulting financial resources estimated to be required in accordance with the general stress test and scenario analysis rule in 12.1.

* Future version of 13.1 after 01/01/2027

13.2

A _firm_ must maintain the records referred to in 13.1 for at least three years.

14

Application of this Part on an Individual Basis, a Consolidated Basis and a Sub-Consolidated Basis

The ICAAP rules

14.1

A _firm_ that is neither a _subsidiary_ of a _parent undertaking_ incorporated in or formed under the law of any part of the _UK_ nor a _parent undertakin_ _g_ must comply with the _ICAAP rules_ on an individual basis.

* Future version of 14.1 after 01/01/2027

14.2

A _firm_ that is not a member of a _consolidation group_ must comply with the _ICAAP rules_ on an individual basis.

[Note: Art 108(1) of the _CRD_]

* Future version of 14.2 after 01/01/2027

14.2A

If the _ICAAP rules_ apply to a _firm_ on an individual basis, the _firm_ must comply with the _ICAAP rules_ to the same extent and in the same manner as it is required to comply with the obligations laid down in Parts Two to Four and Part Seven of the _CRR_.

* Future version of 14.2A after 01/01/2027

14.3

A _firm_ which is a _UK parent institution_ must comply with the _ICAAP rules_ on a _consolidated basis_.

14.4

[Deleted.]

14.4A

A _PRA approved parent holding company_ or a _PRA designated parent holding company_ must comply with the _ICAAP rules_ on the basis of its _consolidated situation_ and a _PRA designated intermediate holding company_ or a _PRA designated institution_ responsible for meeting _CRR_ requirements on a _consolidated basis_ must comply with the _ICAAP rules_ on the basis of the _consolidated situation_ of its _UK parent financial holding company_ or _UK parent mixed financial holding company_.

* Future version of 14.4A after 01/01/2027

14.4B

A _PRA designated institution_ controlled by a _UK parent financial holding company_ or a _UK parent mixed financial holding company_ must comply with the _ICAAP rules_ on the basis of the _consolidated situation_ of that holding company, if the _PRA_ is responsible for supervision of the _firm_ on a _consolidated basis_.

[Note: Art 108(2) of the _CRD_]

14.5

[Deleted.]

14.6

If the _ICAAP rules_ apply to an _Article 109 undertaking_ on a _consolidated basis_ or on a ___sub-consolidated basis_ that person must carry out consolidation to the same extent and in the same manner as it is required to comply with the obligations laid down in the _CRR_ on a _consolidated basis_ or _sub-consolidated basis_.

* Future version of 14.6 after 01/01/2027

14.7

For the purpose of the _ICAAP rules_ as they apply on a _consolidated basis_ or on a _sub-consolidated basis_ :

1. (1) the _Article 109 undertaking_ must ensure that the _consolidation group_ or _sub-consolidation group_ has the processes, strategies and systems required by the overall Pillar 2 rule in 3.1;
2. (2) the risks to which the overall Pillar 2 rule in 3.1 and the general stress test and scenario analysis rule refer are those risks as they apply to each member of the _consolidation group_ ;
3. (3) the reference in the overall Pillar 2 rule in 3.1 to amounts and types of financial resources, _own funds_ and internal capital (referred to in this _rule_ as resources) must be read as being to the amounts and types that the _Article 109 undertaking_ considers should be held by the members of the _consolidation group_ or _sub-consolidation group_ ;
4. (4) other references to resources must be read as being to resources of the members of the _consolidation group _or _sub-consolidation group_ ;
5. (5) the reference in the overall Pillar 2 rule in 3.1 to the distribution of resources must be read as including a reference to the distribution between members of the _consolidation group_ ;
6. (6) the reference in the overall Pillar 2 rule in 3.1 to the overall financial adequacy rule in 2.1 must be read as being to that _rule_ as adjusted under 14.14-14.16 (level of application of the overall financial adequacy rule);
7. (7) an _Article 109 undertaking_ must be able to explain how it has aggregated the risks referred to in the overall Pillar 2 rule in 3.1 and the financial resources, _own funds_ and internal capital required by each member of the _consolidation group _or _sub-consolidation group_ ; and
8. (8) in particular, to the extent that the transferability of resources affects the assessment in (2), an _Article 109 undertaking_ must be able to explain how it has satisfied itself that resources are transferable between members of the group in question in the stressed cases and the scenarios referred to in the general stress test and scenario analysis rule in 12.1.

14.8

An _Article 109 undertaking_ must allocate the total amount of financial resources, _own funds_ and internal capital identified as necessary under the overall Pillar 2 rule in 3.1 (as applied on a _consolidated basis_ or on a _sub-consolidated basis_) between different parts of the _consolidation group_ or _sub-consolidation group_.

14.9

The _Article 109 undertaking_ must carry out the allocation in 14.8 in a way that adequately reflects the nature, level and distribution of the risks to which the _consolidation group_ or _sub-consolidation group_ is subject.

14.10

A _Article 109 undertaking_ must also carry out the allocation in 14.8 in a way that:

1. (a) takes into account the nature, level and distribution of the risks between all entities within the _consolidated group_ or _sub-consolidation group_ ; and
2. (b) ensures the amount allocated to each _Article 109 undertaking_ adequately reflects the risks to which that _Article 109 undertaking_ is exposed on an individual basis.

* Future version of 14.10 after 01/01/2027

The risk control rules

14.11

The _risk control rules_ apply to a _firm_ on an individual basis whether or not they also apply to the firm on a _consolidated basis_ or _sub-consolidated basis_.

[Note: Art 109(1) (part) of the _CRD_]

* Future version of 14.11 after 01/01/2027

Level of application of the overall financial adequacy rule

14.12

Where a _firm_ , a _PRA approved parent holding company_ , a _PRA designated parent holding company_ , a _PRA designated intermediate holding company_ or a _PRA designated institution_ is responsible for meeting _CRR_ requirements on a _consolidated basis_ , it must ensure that the risk management processes and internal control mechanisms at the level of the _consolidation group_ of which it is a member meet the standards set out in the _risk control rules_ on a _consolidated basis_.

* Future version of 14.12 after 01/01/2027

14.12A

Where a _firm_ , a _PRA approved intermediate holding company_ , a _PRA designated intermediate holding company_ , a _PRA designated parent holding company_ or a _PRA designated institution_ is responsible for meeting _CRR_ requirements on a _sub-consolidated basis_ , it must ensure that the risk management processes and internal control mechanisms at the level of the _sub-consolidation group_ of which it is a member meet the standards set out in the _risk control rules_ on a _sub-consolidated basis._

* Future version of 14.12A after 01/01/2027

14.13

Compliance with the obligations referred to in 14.12 and 14.12A must enable the _consolidation group_ or _sub-consolidation group_ to have arrangements, processes and mechanisms that are consistent and well integrated and that any data relevant to the purpose of supervision can be produced.

[Note: Art 109(2) (part) of the _CRD_]

14.14

The overall financial adequacy rule in 2.1 applies to a _firm_ on an individual basis whether or not it also applies to the _firm_ on a _consolidated basis_ or _sub-consolidated basis_.

* Future version of 14.14 after 01/01/2027

14.15

The overall financial adequacy rule in 2.1 applies to an _Article 109 undertaking_ on a _consolidated basis_ if the _ICAAP rules_ apply to it on a _consolidated basis_ and applies to an _Article 109 undertaking_ on a _sub-consolidated basis_ if the _ICAAP rules_ apply to it on a _sub-consolidated basis_.

14.16

When the overall financial adequacy rule in 2.1 applies on a _consolidated basis_ or _sub-consolidated basis_ , the _Article 109 undertaking_ must ensure that at all times its _consolidation group_ or _sub-consolidation group_ maintains overall financial resources, including _own funds_ and liquidity resources, which are adequate, both as to amount and quality, to ensure that there is no significant risk that the liabilities of any members of its _consolidation group_ or _sub-consolidation group _cannot be met as they fall due.

15

Reverse Stress Testing

Application

15.1

This Chapter applies to a _CRR firm_.

Reverse stress testing

15.2

As part of its business planning and risk management obligations, including under the Risk Control Part of the _PRA_ Rulebook, a _firm_ must reverse stress test its business plan; that is, it must carry out stress tests and scenario analyses that test its business plan to failure. To that end, the _firm_ must:

1. (1) identify a range of adverse circumstances which would cause its business plan to become unviable and assess the likelihood that such events could crystallise; and
2. (2) where those tests reveal a risk of business failure that is unacceptably high when considered against the _firm's_ risk appetite or tolerance, adopt effective arrangements, processes, systems or other measures to prevent or mitigate that risk.

15.3

Where the _firm_ is a member of a _UK consolidation group _it must conduct the reverse stress test on an individual basis as well as on a _consolidated basis_ in relation to the _UK consolidation group_.

* Future version of 15.3 after 01/01/2027

15.4

The design and results of a _firm's_ reverse stress test must be documented and reviewed and approved by the firm's senior management or governing body at least every two years in the case of an SDDT and at least annually for any other firm. A _firm_ (including an SDDT) must update its reverse stress test more frequently if it is appropriate to do so in the light of substantial changes in the market or in macroeconomic conditions.